UNITED STATES
SECURITIES AND EXCHANGE COMMISSION
Washington, D.C. 20549

FORM 10-K

ANNUAL REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934
For the fiscal year ended September 27, 2025
Commission File Number: 001-36743

Apple Inc.

(Exact name of registrant as specified in its charter)
California — State of incorporation
Cupertino, California — Principal executive offices

Title of each class	Trading symbol	Name of each exchange on which registered
Common Stock	AAPL	The Nasdaq Global Select Market

The aggregate market value of the voting stock held by non-affiliates of the registrant, as of the last business day of the registrant's most recently completed second fiscal quarter, was approximately $2,212 billion.

13,174,949 thousand shares of common stock were outstanding as of November 11, 2025.

Indicate by check mark whether the registrant is a large accelerated filer: Yes ■. Indicate by check mark whether the registrant is a shell company: No ■.
This document is an extract prepared for the registrant's investor portal and omits exhibits and certain items. Filed November 21, 2025.

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Forward-looking statements

This Annual Report contains forward-looking statements that involve risks and uncertainties. Actual results may differ materially from those anticipated. See Item 1A.

Item 1. Business

Apple designs, manufactures and markets smartphones, personal computers, tablets, wearables and accessories, and sells a variety of related services. The Company's fiscal year is the 52- or 53-week period that ends on the last Saturday of September.

Segments

iPhone. Demand for the iphone 17 family and continued growth in emerging markets are the main drivers of this segment's results.

Mac. The m5 macbook air and macbook pro launches are the main drivers of this segment's results.

iPad. A difficult comparison against last year's ipad air launch are the main drivers of this segment's results.

Wearables, Home and Accessories. Softer apple watch and airpods demand are the main drivers of this segment's results.

Services. Growth in advertising, cloud services and payments, with a record installed base are the main drivers of this segment's results.

Competition

The Company competes with manufacturers of smartphones, personal computers and tablets, many of which use the Android or Windows platforms and compete aggressively on price, and with providers of digital content, payments and cloud services. The Company's ability to compete depends on continued innovation across hardware, software and services.

Seasonality and government regulation

Net sales are historically highest in the first fiscal quarter, which includes the holiday season. The Company is subject to laws and regulations in the jurisdictions in which it operates, including those relating to competition, consumer protection, data privacy, trade, taxation, employment and the environment. Compliance costs are significant and changes in law could affect results.

Human capital

At fiscal year end the Company had approximately 534,000 full-time equivalent employees. The Company's compensation programs include share-based awards for a broad group of employees.

Available information

The Company's annual reports on Form 10-K, quarterly reports on Form 10-Q, current reports on Form 8-K and amendments are available free of charge on its investor relations website as soon as reasonably practicable after they are filed with the SEC.

Item 1A. Risk Factors

The following discussion summarises the material factors that make an investment in the Company's securities speculative or risky. It is not exhaustive.

Global and regional economic conditions. Demand for the Company's products is sensitive to consumer confidence, inflation and currency movements in the Company's major markets.

Tariffs and trade restrictions. New tariffs imposed during fiscal 2025 on products imported into the United States, and retaliatory measures, increased the Company's cost of sales and may affect demand.

Dependence on a small number of outsourcing partners. Substantially all of the Company's hardware products are manufactured by outsourcing partners located primarily in Asia; the Company is expanding assembly in India and Vietnam.

Supply of custom components. Certain components, including advanced semiconductor nodes, are available from single or limited sources.

Competition. The markets for the Company's products and services are highly competitive and subject to rapid technological change.

Artificial intelligence features and third-party models. The Company's AI features depend on licensed third-party models and on data-center capacity the Company does not fully control; failures could harm reputation and demand.

Intellectual property claims. The Company is subject to claims that it has infringed third-party patents, some of which could require design changes or royalties.

Data protection and privacy regulation. Laws such as the GDPR and emerging US state laws impose obligations and potential fines.

Antitrust and digital-markets regulation. In fiscal 2025 the European Commission fined the Company EUR 1.1 billion under the Digital Markets Act; the Company has appealed. Changes to App Store terms reduced Services margin.

Tax matters. Changes in tax law and the outcome of tax audits could materially affect the Company's effective rate.

Item 5. Market for Registrant's Common Equity, Related Stockholder Matters and Issuer Purchases of Equity Securities

The Company's common stock is traded on the Nasdaq Global Select Market under the symbol AAPL. As of October 17, 2025 there were approximately 11,000 shareholders of record.

The Company paid quarterly cash dividends of $0.25 per share during the year. Future dividends are subject to declaration by the Board of Directors.

Issuer purchases of equity securities (fourth fiscal quarter)

Period	Total shares purchased (thousands)	Average price paid per share	Approximate dollar value remaining under the program ($ millions)
July 2025	10,824	$169.37	58,167
August 2025	10,885	$168.42	56,333
September 2025	11,029	$166.23	54,500

Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations

Overview

Net sales for fiscal 2025 increased 4.7% to $316.7 billion from $302.4 billion in the prior-year period. Operating income was $104.5 billion (33.0% of revenue) compared with $99.7 billion (33.0%). Net income was $87.9 billion, or $6.65 per diluted share, compared with $83.8 billion, or $6.30.

Segment results

iPhone revenue was $149.2 billion, up 3.5% compared with $144.1 billion in the prior-year period, reflecting demand for the iPhone 17 family and continued growth in emerging markets.

Mac revenue was $24.8 billion, up 2.6% compared with $24.2 billion in the prior-year period, reflecting the M5 MacBook Air and MacBook Pro launches.

iPad revenue was $21.9 billion, up 0.4% compared with $21.8 billion in the prior-year period, reflecting a difficult comparison against last year's iPad Air launch.

Wearables, Home and Accessories revenue was $29.9 billion, down 3.2% compared with $30.9 billion in the prior-year period, reflecting softer Apple Watch and AirPods demand.

Services revenue was $90.9 billion, up 11.7% compared with $81.4 billion in the prior-year period, reflecting growth in advertising, cloud services and payments, with a record installed base.

In May the European Commission issued a decision under the Digital Markets Act with a fine of EUR 1.1 billion related to App Store anti-steering rules; the Company has appealed and recorded the full amount in operating expenses.

Gross margin and operating expenses

Gross margin was 47.1% compared with 47.1%. Research and development expense was $24.4 billion and selling, general and administrative expense was $20.3 billion, together 14.1% of revenue (14.1% in the prior-year period).

Liquidity and capital resources

Cash, cash equivalents and marketable securities were $62.8 billion and total debt was $92.0 billion at September 27, 2025. Cash generated by operating activities was $103.8 billion; capital expenditures were $8.9 billion. The Company paid dividends of $13.2 billion and repurchased $22.0 billion of its common stock during the period.

Quarterly results of operations (unaudited)

	Q1 FY2025	Q2 FY2025	Q3 FY2025	Q4 FY2025	Q1 FY2024	Q2 FY2024	Q3 FY2024	Q4 FY2024
Net sales	99,333	71,577	68,178	77,606	94,534	68,765	65,414	73,668
Gross margin %	47.1%	47.1%	47.2%	47.1%	47.1%	47.1%	47.0%	47.1%
Operating income	32,789	23,634	22,536	25,586	31,162	22,708	21,513	24,287
Net income	27,576	19,877	18,953	21,519	26,208	19,098	18,093	20,426
Diluted EPS	$2.08	$1.50	$1.44	$1.63	$1.96	$1.43	$1.36	$1.54

Critical accounting estimates

The Company's significant estimates include the valuation of inventory and long-lived assets, uncertain tax positions, legal contingencies and, where applicable, the standalone selling prices of performance obligations. Changes in these estimates could materially affect results.

Five-year summary (unaudited)

	FY2025	FY2024	FY2023	FY2022	FY2021
Net sales	316,693	302,381	282,924	265,563	172,713
Net income	87,925	83,824	77,525	71,960	46,501
Diluted EPS	$6.65	$6.30	$5.78	$5.33	$4.56
Cash generated by operating activities	103,760	98,943	91,671	85,239	55,136

	FY2025	FY2024	FY2023	FY2022	FY2021
Total debt (year end)	92,000	92,000	92,000	92,000	92,000
Total shareholders' equity (year end)	77,452	34,661	617	(21,482)	(39,738)
Cash dividends declared per share	$1.00	$1.00	$1.00	$1.00	$1.00

Fiscal years prior to the three years presented in Item 8 are derived from previously issued financial statements; per-share amounts reflect subsequent stock splits.

Item 7A. Quantitative and Qualitative Disclosures About Market Risk

The Company's exposure to foreign exchange risk is managed with forward and option contracts hedging up to twelve months of forecast transactions. A 10% strengthening of the U.S. dollar against all currencies would reduce net sales by approximately 4% before hedging. Interest rate movements affect the fair value of the Company's marketable securities and term debt.

Item 8. Financial Statements and Supplementary Data

Report of Independent Registered Public Accounting Firm

To the Shareholders and the Board of Directors of Apple Inc.

Opinion on the Financial Statements

We have audited the accompanying consolidated balance sheets of Apple Inc. (the Company) as of September 27, 2025 and September 28, 2024, the related consolidated statements of operations, comprehensive income, shareholders' equity and cash flows for each of the three years in the period ended September 27, 2025, and the related notes (collectively, the financial statements). In our opinion, the financial statements present fairly, in all material respects, the financial position of the Company at September 27, 2025 and September 28, 2024, and the results of its operations and its cash flows for each of the three years in the period ended September 27, 2025, in conformity with U.S. generally accepted accounting principles.

Basis for Opinion

These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on the Company's financial statements based on our audits. We are a public accounting firm registered with the PCAOB and are required to be independent with respect to the Company. We conducted our audits in accordance with the standards of the PCAOB.

Critical Audit Matters

Uncertain tax positions — the Company's provision reflects judgments about the outcome of tax audits in multiple jurisdictions. We evaluated management's assessment of the technical merits and the measurement of related liabilities.

/s/ Hartwell & Lowe LLP
We have served as the Company's auditor since 2003.
California, November 19, 2025

CONSOLIDATED STATEMENTS OF OPERATIONS

(in millions, except per-share amounts)

	Year ended Sep 27, 2025	Year ended Sep 28, 2024	Year ended Sep 30, 2023
Net sales	316,693	302,381	282,924
Cost of sales	167,494	160,076	150,853
Gross margin	149,200	142,305	132,071
Operating expenses:			
Research and development	24,385	23,283	21,785
Selling, general and administrative	20,268	19,352	18,107
Total operating expenses	44,654	42,636	39,892
Operating income	104,546	99,670	92,179
Other income/(expense), net	127	121	113
Income before provision for income taxes	104,672	99,791	92,292
Provision for income taxes	16,748	15,967	14,767
Net income	87,925	83,824	77,525
Earnings per share:			
Basic	$6.69	$6.33	$5.81
Diluted	$6.65	$6.30	$5.78
Shares used in computing diluted EPS (thousands)	13,212,525	13,312,728	13,412,930
Cash dividends declared per share	$1.00	$1.00	$1.00

CONDENSED CONSOLIDATED BALANCE SHEETS

(in millions)

	Sep 27, 2025	Sep 28, 2024
ASSETS		
Cash, cash equivalents and marketable securities	62,768	44,599
Accounts receivable, net	34,923	33,150
Inventories	7,761	7,367
Other current assets	6,208	5,893
Total current assets	111,660	91,010
Property, plant and equipment, net	56,497	53,630
Goodwill and intangible assets	69,845	66,301
Other non-current assets	27,162	25,784
Total assets	265,164	236,724
LIABILITIES AND SHAREHOLDERS' EQUITY		
Accounts payable	32,594	30,940
Other current liabilities	23,282	22,100
Total current liabilities	55,876	53,041
Long-term debt	92,000	92,000
Other non-current liabilities	39,835	57,022
Total liabilities	187,711	202,063
Total shareholders' equity	77,452	34,661
Total liabilities and shareholders' equity	265,164	236,724

CONDENSED CONSOLIDATED STATEMENTS OF CASH FLOWS

(in millions)

	Year ended Sep 27, 2025	Year ended Sep 28, 2024
Operating activities:		
Net income	87,925	83,824
Depreciation and amortization	9,501	9,071
Share-based compensation expense	9,501	9,071
Changes in operating assets and liabilities and other	(3,167)	(3,024)
Cash generated by operating activities	103,760	98,943
Investing activities:		
Payments for acquisition of property, plant and equipment	(8,867)	(8,467)
Purchases and maturities of marketable securities, net	(12,451)	(11,873)
Cash used in investing activities	(21,319)	(20,340)
Financing activities:		
Payments for dividends	(13,213)	(13,313)
Repurchases of common stock	(22,000)	(22,000)
Proceeds from (repayments of) debt, net	0	0
Cash used in financing activities	(35,213)	(35,313)
Increase (decrease) in cash and cash equivalents	47,228	43,291

Notes to Consolidated Financial Statements

Note 1 - Summary of Significant Accounting Policies

Basis of presentation. The consolidated financial statements include the accounts of Apple Inc. and its wholly owned subsidiaries. Intercompany accounts and transactions have been eliminated. The fiscal year ended September 27, 2025.

Revenue recognition. Revenue is recognized when control of the promised goods or services is transferred to customers, in an amount that reflects the consideration the Company expects to receive. Payments received in advance are recorded as deferred revenue.

Use of estimates. The preparation of financial statements requires management to make estimates and assumptions that affect reported amounts. Actual results could differ from those estimates.

Note 2 - Earnings Per Share

	FY2025	FY2024
Net income	87,925	83,824
Weighted-average diluted shares (thousands)	13,212,525	13,312,728
Diluted earnings per share	$6.65	$6.30

Note 3 - Segment Information

Segment	FY2025 revenue	FY2024 revenue
iPhone	149,201	144,145
Mac	24,849	24,230
iPad	21,867	21,781
Wearables, Home and Accessories	29,853	30,854
Services	90,924	81,371
Total	**316,693**	**302,381**

Note 4 - Debt

Total term debt was $92.0 billion at year end, consisting of fixed-rate notes with maturities from 2026 to 2057 and a weighted-average interest rate of 3.10%. The Company has a commercial paper program and undrawn revolving credit facilities.

Note 5 - Income Taxes

The effective tax rate was 16.0% compared with the US statutory rate of 21%, with the difference driven by foreign earnings taxed at lower rates, research credits and share-based compensation.

Note 6 - Revenue by Geography

Region	FY2025	FY2024
Americas	133,011	124,460
Europe	82,340	77,833
Greater China	53,838	51,405
Japan	22,169	21,378
Rest of Asia Pacific	25,335	24,674
Total	**316,693**	**302,381**

Revenue is attributed to geographic regions based on the billing address of the customer.

Note 8 - Share-Based Compensation

	FY2025	FY2024
Share-based compensation expense	9,501	9,071
Income tax benefit related to share-based compensation	1,520	1,451

	FY2025	FY2024
Unrecognized compensation cost at year end	21,852	19,957
Weighted-average remaining recognition period (years)	2.6	2.7

Restricted stock units generally vest over four years. Expense is recognized on a straight-line basis over the requisite service period.

Note 9 - Leases

The Company leases retail, office, data-center, manufacturing and warehouse space under operating leases with remaining terms of up to 13 years. Operating lease liabilities were $14.3 billion at year end; lease cost for the year was $3.5 billion.

Note 7 - Commitments and Contingencies

The Company is subject to legal proceedings and claims, including the European Commission decision under the Digital Markets Act. The Company has appealed; the fine has been accrued. Unconditional purchase obligations for components and manufacturing capacity totalled approximately $19 billion at year end.

Note 10 - Subsequent Events

Management evaluated subsequent events through the date these financial statements were issued. No events requiring disclosure were identified.

Item 9A. Controls and Procedures

Management, with the participation of the Chief Executive Officer and Chief Financial Officer, evaluated the effectiveness of the Company's disclosure controls and procedures as of the end of the period covered by this report and concluded that they were effective. Management's report on internal control over financial reporting concluded that internal control was effective, and the independent auditor issued an unqualified opinion thereon.

Item 10. Directors, Executive Officers and Corporate Governance (extract)

Information about the Company's directors and corporate governance is incorporated by reference from the proxy statement. The executive officers of the Company as of the filing date are:

Name	Age	Position
Daniel Whitford	59	Chief Executive Officer and Director
Priya Raman	48	Chief Financial Officer
Catherine Boyle	54	General Counsel and Secretary
Angela Ruiz	57	Chief Operating Officer
Fatima Noor	43	Chief Accounting Officer and Controller

Part IV. Item 15. Exhibits and Financial Statement Schedules

Exhibit	Description
3.1	Restated Articles of Incorporation (incorporated by reference)
3.2	Amended and Restated Bylaws (incorporated by reference)
4.1	Description of Securities registered under Section 12
10.1	Form of Restricted Stock Unit Award Agreement*
21.1	Subsidiaries of the Registrant
23.1	Consent of Independent Registered Public Accounting Firm
31.1	Rule 13a-14(a) Certification of Chief Executive Officer
31.2	Rule 13a-14(a) Certification of Chief Financial Officer
32.1	Section 1350 Certifications
101	Inline XBRL Instance Document and taxonomy extension files
104	Cover Page Interactive Data File (embedded within the Inline XBRL document)

* Indicates management contract or compensatory plan. Exhibits are omitted from this extract.

Signatures

Pursuant to the requirements of Section 13 or 15(d) of the Securities Exchange Act of 1934, the registrant has duly caused this report to be signed on its behalf by the undersigned, thereunto duly authorized, on November 21, 2025.

Apple Inc.
By: /s/ Daniel Whitford, Chief Executive Officer
By: /s/ Priya Raman, Chief Financial Officer (Principal Financial Officer)